would be a 60 percent U.S. and 40 percent non-U.S. combination. If you went to 80 percent non-U.S. stocks, your risk would rise to about the same level as if you had a 100 percent U.S. portfolio—but your return would also rise, by a couple of percentage points. The study covered the period from 1985 through 1993, so it included both the 1987 market quake felt around the world and the Gulf War, which also sent all markets tumbling. The percentages could change with different time frames, but the overall results will be similar.

The issue really isn't whether or not you should invest in foreign stocks. The issue is whether or not you should be in stocks altogether. If you are in pain when a stock or stock mutual fund drops 5 percent, the answer is negative. But if you *are* a stock investor, you should be country-blind.